Microeconomics

Subject: Economics | NoteShare Library

MICROECONOMICS

1. DEMAND
Law: P^ -> QdV
Curve: downward sloping
Shifters: Income, Tastes, Prices of related

2. SUPPLY
Law: P^ -> Qs^
Curve: upward sloping
Shifters: Input costs, Technology, Taxes

3. EQUILIBRIUM
Qd = Qs
Surplus, Shortage
Price mechanism

4. ELASTICITY
Elastic: |E| > 1
Inelastic: |E| < 1
Unitary: |E| = 1

5. CONSUMER THEORY
Utility
Marginal utility
Indifference curves
Budget constraint
Consumer surplus

6. PRODUCTION
Fixed vs Variable costs
Short run vs Long run
Law of diminishing returns
Economies of scale

7. MARKET STRUCTURES
Perfect Competition: many, identical
Monopoly: one seller
Oligopoly: few sellers
Monopolistic: differentiated

8. EXTERNALITIES
Positive: education
Negative: pollution
Pigouvian taxes
Coase theorem